

Final strategy

12-month momentum with a low-beta tilt · generated 17 Sep 2026 18:24 IST

The rule

Component	Setting
Rank by	12-month momentum, skipping the most recent month
Tilt	25% weight toward low beta (252-day)
Universe	liquid screen only - no volatility cap, no 200DMA filter
Positions	top 20, weekly rescan
Stop	2.5 ATR below entry, fixed at entry
Trail	3.5 ATR below the highest close
Target	none - the trail or the clock decides
Time exit	60 sessions

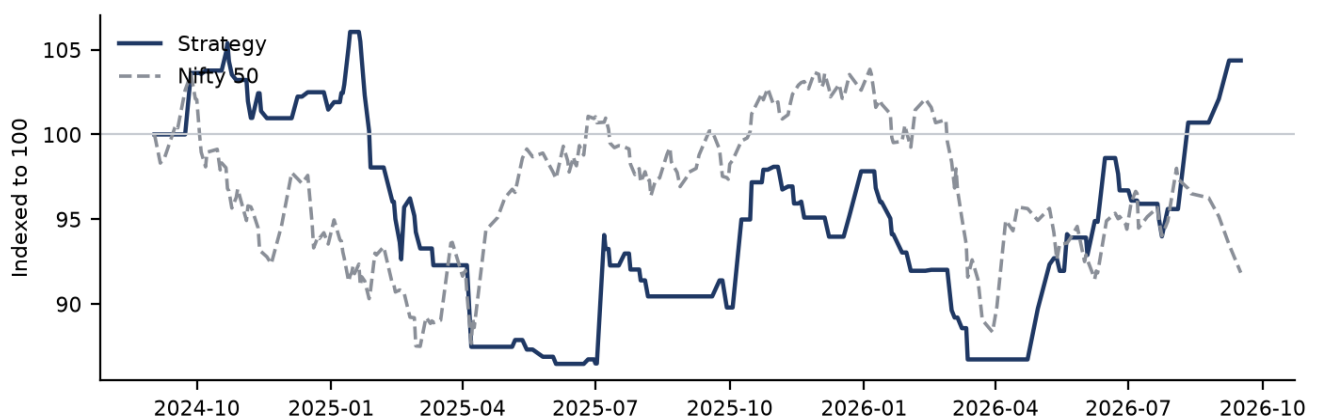
Did it make money?

Two runs, both at 10 lakh starting capital, 1% equity risk per trade, at most 10 open positions, entry at the next open, 0.25% round-trip costs. The first window is the one the previous report covered, so the two are directly comparable. The second is a decade the parameters were never fitted to.

A. Same window as the previous report (2024-09 to 2026-09)

Metric	Strategy	Nifty 50
Starting capital	1,000,000	-
Ending equity	1,043,645	-
Net P&L	43,645	-
Total return	+4.4%	-7.9%
CAGR	+2.1%	-4.0%
Alpha (total / CAGR)	+12.3% / +6.1%	-
Max drawdown	-18.5%	-
Capital deployed	11,783,837	11.78x turnover
Positions taken	131	145 skipped, no cash

The previous rules lost 6.8% over this window and beat the index only because the index fell further. This makes 4.4% while the Nifty loses 7.9%, with the maximum drawdown cut from 27% to 18.5%.



B. The decade the parameters never saw (2009-01 to 2020-03)

Metric	Strategy	Nifty 50
Starting capital	1,000,000	-
Ending equity	3,877,946	-
Net P&L	2,877,946	-
Total return	+287.8%	+267.7%
CAGR	+12.9%	+12.4%
Alpha (total / CAGR)	+20.1% / +0.5%	-
Max drawdown	-30.3%	-
Capital deployed	173,812,624	173.81x turnover
Positions taken	730	699 skipped, no cash

This is the honest test: the parameters were chosen on 2021-2026 and this data was only fetched afterwards. Over 11.2 years it turns 10 lakh into 38.8 lakh, against 36.8 lakh for the index - a CAGR of 12.9% versus 12.4%. The edge over the index is real but **modest: about half a percent a year**, far smaller than window A suggests.

Trade statistics

Signal-level, independent of position size.

Window A - 2024-09 to 2026-09

Measure	Value	Measure	Value
Trades	444	Average hold	29.16 days
Win rate	34.9%	Median hold	24 days
Average win	+16.7%	Hold, winners	44.21 days
Average loss	-8.9%	Hold, losers	21.08 days
Expectancy	+0.07%	Average R	0.021
Profit factor	1.011	Realised reward:risk	1.94 : 1
Longest win streak	11	Longest loss streak	28

Window B - 2009 to 2020

Measure	Value	Measure	Value
Trades	2,344	Average hold	33.03 days
Win rate	43.2%	Median hold	31 days
Average win	+15.2%	Hold, winners	48.52 days
Average loss	-8.0%	Hold, losers	21.24 days
Expectancy	+2.07%	Average R	0.229
Profit factor	1.457	Realised reward:risk	1.99 : 1
Longest win streak	13	Longest loss streak	30

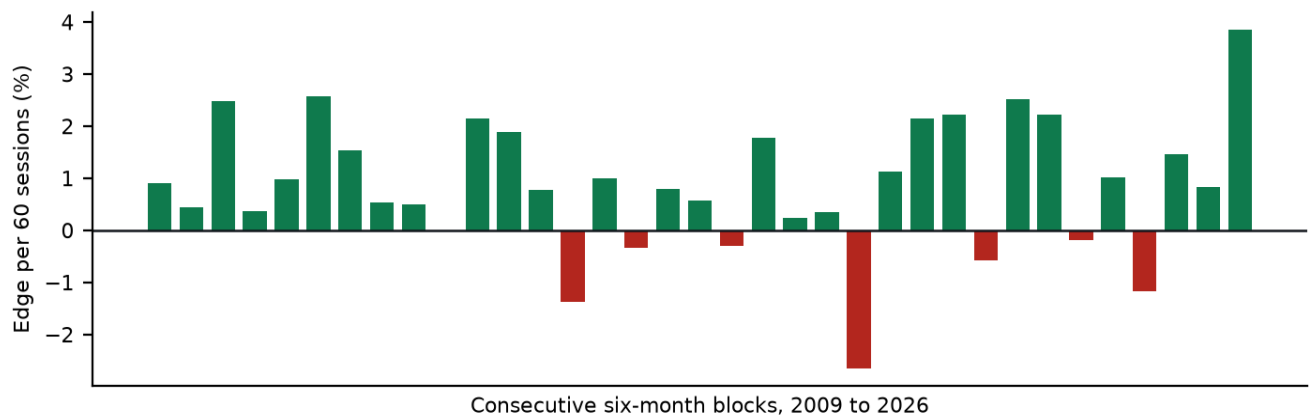
Best and worst single trades

Window		Symbol	Date	Return	R	Held
A	Best	BSE	2025-03-17	+101.2%	5.9	59d
A	Worst	SARDAEN	2025-04-01	-25.0%	-2.01	4d

Window		Symbol	Date	Return	R	Held
B	Best	M&M	2009-02-17	+118.1%	7.64	60d
B	Worst	FORTIS	2009-06-15	-23.6%	-1.0	20d

Note the asymmetry the trailing stop produces: the best trades run to +100% or more while the worst are capped near -25%. That is where a 35-43% win rate still produces a positive expectancy. It also means long losing runs are normal - the longest was 28 consecutive losers in window A and 30 in window B.

Consistency over 16.7 years



Measure	Value
Six-month blocks	35
Blocks positive	27 (77.1%)
Mean block edge	+0.87%
Median block edge	+0.82%
Best block	+3.86%
Worst block	-2.66%
Newey-West t (overlap adjusted)	3.33

Edge here is measured against **every eligible name on the same dates** under the same exit policy, so market direction is removed. Overlapping holds are not independent observations, so the t-statistic is Newey-West at the overlap lag.

Is it skill, or just holding riskier stocks?

Benchmark	Mean edge	Newey-West t
Whole eligible universe	+0.74%	2.48
Same volatility decile	+0.73%	2.64

The picks carry 1.162x the universe's volatility. Benchmarked against stocks of similar volatility on the same dates, **98% of the edge survives** and the t-statistic improves. A volatility premium would have collapsed here.

Why these parameter values

Each was taken from the middle of a plateau. A value that scores well while its neighbours score badly has been fitted to the sample.

Holding period (sessions)

Value	Mean edge	NW t	% blocks positive	Worst block
20	+0.33%	2.32	64.7%	-3.30%
40	+0.60%	3.02	73.5%	-5.65%
60	+0.78%	3.37	76.5%	-3.36%
90	+0.81%	3.29	79.4%	-5.78%

Number of positions

Value	Mean edge	NW t	% blocks positive	Worst block
10	+0.86%	3.6	67.6%	-5.39%
15	+0.69%	3.3	70.6%	-6.30%

Value	Mean edge	NW t	% blocks positive	Worst block
20	+0.60%	3.02	73.5%	-5.65%
30	+0.42%	2.37	70.6%	-2.93%
40	+0.39%	2.41	67.6%	-3.12%

The volatility cap that an earlier draft recommended was removed for failing this test: it scored $t=3.02$ at 0.35 while 0.30 gave 1.16 and 0.45 gave 1.48. A spike, not a plateau. Removing it improved results.

What to expect, and what not to

1. Roughly half a percent a year over the index, not twelve

Window A's +12.3% alpha covers two years that overlap the data the parameters were chosen from. Window B - a clean decade - gives 12.9% CAGR against the index's 12.4%. Believe the second number.

2. Long losing runs are the normal operating state

28 and 30 consecutive losers in the two windows, at a 35-43% win rate. The method depends on a handful of trades running to +100% while losers are capped near -25%. Any sizing or temperament that cannot survive 30 straight losses will not survive this.

3. Drawdowns of 20-30% are expected

-18.5% in window A and -30.3% in window B, both at 1% risk per trade with at most ten open positions. Larger positions scale this proportionally.

4. Momentum crashes are the known failure mode

2024-2025 was one: the untilted signal lost 0.80% per 60 days through it. The low-beta tilt turned that window positive and halved block dispersion, but it does not remove the risk.

5. The search itself is not free

Roughly 60 specifications were tested to arrive here. The out-of-sample decade is the strongest defence against that, but a t-statistic chosen from 60 candidates is not the same as one computed from a single pre-registered hypothesis.

6. Survivorship bias is present and grows with history

The universe is today's Nifty 500, so window B is more affected than window A. That cuts against the cleaner result, which is a reason to treat +0.5% CAGR as an upper bound rather than a floor.

The site publishes this strategy's picks daily and tracks them forward from September 2026. That record cannot be refitted, and within a year it will be better evidence than anything in this document. Research output, not investment advice.